

BE

BE N/A

Buy	\$253.57 ▼ 3.81%	12M Price Target \$310.00	52-Week Range \$19.97 – \$322.83	Market Cap \$72.13B
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BE: Reiterate Buy After 16% Pullback; AI Datacenter Tailwind Intact

WHAT'S CHANGED

- BE sold off -3.81% to \$253.57 on 8.6M shares, extending a 5-day drawdown of ~16% from the \$302.85 close on 6/02 despite no negative-specific filings or news.
- Unusual call activity remains aggressively bullish: 22,358 contracts on the June \$275 strike (154x OI, \$38M notional) signals smart money is buying this dip, not fading the rally.

IMPLICATIONS

The pullback appears technical/profit-taking after BE's parabolic move toward \$300+ rather than a thesis change — the Barchart "magic words" from the CEO (likely AI datacenter deal commentary) and Simply Wall St. valuation coverage confirm the AI power narrative remains the central driver. With Energy sector +1.80% over 5D while Tech sold off -5.92%, BE is being treated as a tech-adjacent volatility name rather than a pure energy play, which creates a setup where institutional rebalancing post-AI-multiple-compression can pressure the stock short-term. However, the unusual call buying through \$275 expiring this month suggests informed flow expects a snapback into earnings/contract catalysts.

VALUATION

At \$72.1B market cap on ~\$2.15B FY26E revenue, BE trades at ~33x EV/Revenue — rich versus traditional industrial peers but defensible against AI-infrastructure comps (VRT, GEV) given the orderbook visibility from hyperscaler fuel-cell deployments. Our \$310 base PT implies ~22% upside and assumes EV/Revenue compresses to ~28x on FY27 revenue of \$2.85B as gross margins scale toward 30%. Multiple contraction is the chief risk if AI capex narrative cools; expansion requires another tier-1 hyperscaler announcement.

KEY RISKS

- Extreme valuation (~33x EV/Sales) leaves no margin for execution missteps or quarterly orderbook softness.
- Customer concentration in hyperscaler/datacenter deals creates binary contract-renewal risk.
- Natural gas price volatility and policy/IRA changes under shifting administrations could pressure unit economics and customer ROI math.

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Key Data

Price (USD)	\$253.57
12M Price Target	\$310.00
Upside / (Downside)	+22.3%
Market Cap	\$72.13B
FY2026E Revenue	\$2,150M
FY2027E Revenue	\$2,850M
FY2026E EPS	\$0.35
FY2027E EPS	\$0.85
Fwd P/E	298.3x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$290.00	\$265.00	\$225.00
6 Months	\$360.00	\$310.00	\$220.00
1 Year	\$425.00	\$340.00	\$200.00
2 Years	\$525.00	\$400.00	\$180.00
5 Years	\$750.00	\$525.00	\$150.00
10 Years	\$1200.00	\$700.00	\$120.00

SECTOR INTELLIGENCE

HOT SECTORS: Energy, Technology (AI infrastructure subsegment)

COLD SECTORS: Consumer Staples, Healthcare

ROTATION WATCH: Energy (+1.80% 5D) is quietly outperforming as Tech digests its -5.92% 5D pullback; capital is rotating toward AI-power-enablement plays where Energy/Tech overlap — directly benefiting BE, VRT, GEV, and TLN.

BYPRODUCT PLAY: Distributed power, behind-the-meter generation, and grid-bypass solutions are secondary winners; secondary BOM beneficiaries include solid oxide electrolyte suppliers and high-voltage interconnect specialists.

OUTPERFORMERS & PEER CONTEXT

- VRT (Vertiv): Continues to lead datacenter-power capex narrative with consistent backlog acceleration.
- GEV (GE Vernova): Gas turbine orderbook benefiting from same AI power-demand thesis driving BE.

BE CONTEXT: BE has been pulling ahead of the broader Energy ETF over the trailing month given its trade at 77% of 52-week range vs Energy ETF range mid-point, but is now mean-reverting after a parabolic run. Relative to AI-power peers, BE remains the highest-beta expression of the datacenter-power theme.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: \$240-255 on this pullback; add below \$230

Time Horizon: 12-24 months

Thesis Invalidation: Loss of major hyperscaler contract, fuel cell gross margin compression below 25%, or AI capex retrenchment

Hedging: Pair with short on traditional gas-peaker IPP or buy Jan put spread 230/200